

Palantir Technologies Inc.

PLTR NYSE

Hold	\$191.71 ▼ 0.46%	12M Price Target \$210.00	52-Week Range \$106.37 – \$207.52	Market Cap \$460.69B
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PLTR: Karp's Liability Warning Rattles Momentum Near Highs

WHAT HAPPENED

- Stock slipped 0.46% on light volume (9.4M vs the usual 20M+) — Karp went on record putting "liability before IPOs," basically warning that AI companies rushing to go public are ignoring the legal exposure of what their models do. Translation: he's positioning Palantir as the "grown-up" in AI, but the market read it as him tapping the brakes on the AI hype cycle that's been powering his own stock.
- The Anthropic headline matters more than it looks — reporters are describing Anthropic pre-IPO as wanting "Palantir-style control." That's free brand validation, but it also signals competition is coming for PLTR's enterprise moat.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

POLICY & POLITICAL WATCH

The FY2027 defense budget markup is the single most important thing for PLTR right now — the House Armed Services Committee has been pushing for expanded AI/software procurement authority, and Palantir is the reference implementation for pretty much every "Software Acquisition Pathway" contract the Pentagon writes. Watch the ongoing debate around the AI executive order framework — the current administration's push to require "auditable AI" in federal use cases is essentially a moat-widener for PLTR because Foundry and AIP are already built for that. On the flip side, if Congress passes tighter data privacy legislation (state AGs are pushing hard), the commercial healthcare and financial services pipeline could slow.

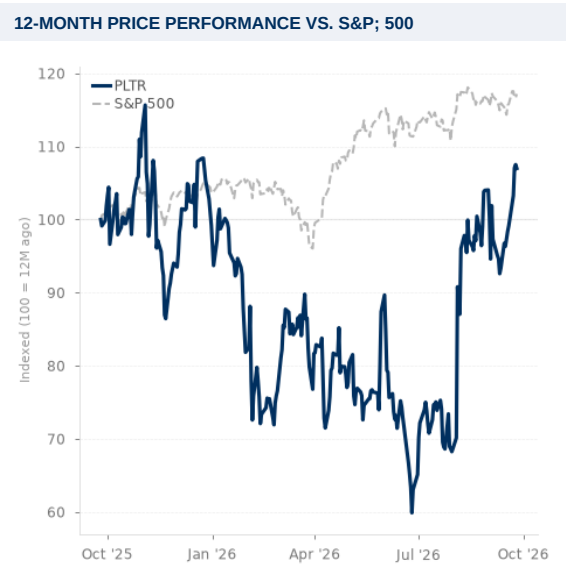
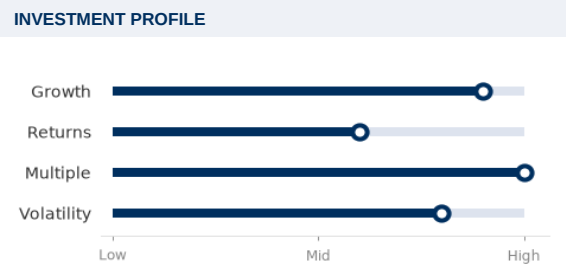
IS IT EXPENSIVE?

Investors are paying about \$95 for every \$1 of revenue this company generates — for context, Snowflake trades around \$15 and even Nvidia is around \$25. That premium only makes sense if you believe PLTR grows revenue 40%+ for the next 5 years AND expands margins significantly, which is a lot to assume. The bull case says government AI spending is a decade-long tailwind and PLTR is the only scaled pure-play, so the multiple compresses through growth rather than a price crash — but that means limited upside from here even if things go well.

WHAT COULD GO WRONG

- If the defense appropriations bill gets caught in a continuing resolution fight (very possible given the political calendar), new contract awards get delayed and Q4 numbers disappoint the momentum crowd.

Key Data	
Price (USD)	\$191.71
12M Price Target	\$210.00
Upside / (Downside)	+9.5%
Market Cap	\$460.69B
FY2026E Revenue	\$4,850M
FY2027E Revenue	\$6,400M
FY2026E EPS	\$0.68
FY2027E EPS	\$0.92
Fwd P/E	281.9x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$210.00	\$195.00	\$175.00
6 Months	\$240.00	\$200.00	\$155.00
1 Year	\$275.00	\$210.00	\$140.00
2 Years	\$350.00	\$240.00	\$120.00
5 Years	\$500.00	\$320.00	\$100.00
10 Years	\$800.00	\$450.00	\$80.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Technology (+1.10% today, +3.95% over 5 days) is back in leadership as investors rotate out of financials and into anything AI-adjacent — the IBD headline "Technology Stocks Are Back, Because Nothing Else Is" captures the mood. Industrials also strong, which helps the defense-tech narrative.

COOLING OFF: Financials down 1.55% over 5 days — rate cut expectations are getting priced in and net interest margins face pressure. Consumer staples flat, suggesting no defensive rotation yet.

ROTATION WATCH: Money is flowing back to mega-cap tech and AI names because there's no compelling alternative right now — bonds are boring, financials are stuck, energy is choppy. That's a direct tailwind for PLTR but it's a crowded trade.

RELATED PLAY: If PLTR's government AI thesis plays out, watch the data infrastructure names that support it — think ANET (Arista) for networking and the smaller pure-play defense software names like Rocket Lab or the private-to-public pipeline (Anduril if/when it lists).

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the AI infrastructure king — every incremental federal AI dollar flows through their chips first.
- AVAV (AeroVironment): Defense drone/autonomy play riding the same defense-modernization budget wave as PLTR.

PLTR CONTEXT: PLTR is leading, not lagging — it's up ~80% YTD and near 52-week highs, which means it's already pricing in a lot of good news. When a stock is this extended, it typically needs an actual earnings beat to justify further upside, not just news flow. That makes the November print the critical catalyst.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-3% of portfolio

Entry Points: \$165-175 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Two consecutive quarters of decelerating US commercial growth OR loss of major DoD contract

Hedging: Long-dated puts or pair against a cheaper defense-tech name like BAH